

DE-LICIOUS



IN INDIA, THERE IS A BIG SOCIAL STIGMA ABOUT SELLING MEAT AND SEAFOOD



THE MEAT DELIVERY START-UP IDENTIFIED AN OPPORTUNITY AND LATENT DEMAND FOR SALE OF HYGIENIC MEAT IN THE COUNTRY



THE ONLINE MEAT MARKET IS CURRENTLY SMALL, BUT IT IS EXPECTED TO TAKE OFF



OFFLINE IS AN AMBITIOUS FORAY FOR LICIOUS, BUT IT WILL NEED TO CRACK THE COST FORMAT TO BE SUCCESSFUL



THE MEAT DELIVERY START-UP IS LOOKING TO OPEN FIVE OFFLINE STORES IN BENGALURU BY THE END OF JUNE 2024



BUILDING A SUPPLY CHAIN FROM SCRATCH FOR MEAT AND SEAFOOD HAS BEEN LICIOUS'S BIGGEST ACHIEVEMENT

SOURCE DELOITTE, INDUSTRY

hand: to ensure that Licious turns Ebitda positive over the next six to eight months. With the FY23 number at a negative ₹445.98 crore (*see chart*), their task is cut out.

A HELPFUL CHUNK: BON APPÉTIT!

But first, let's talk about how the duo sold the idea to investors. Gupta, 43, recalls how the first 15 meetings with potential investors were about the idea being loved but no money coming in. When Mayfield came aboard in mid-2016, it was for a funding of \$3 million, spread across six instalments. "In 2017, we had five investors together putting in \$10 million," he says, with a wry smile.

Then came the Covid-19 pandemic. The hygiene concern increased the appetite of meat-eaters for online purchases, as they avoided buying meat from local butcher shops. As a result, the numbers soared, but there were numerous challenges to overcome. While around 10% of the overall grocery pie is meat, it has never been an essential service in India. "Though we were upbeat about our business, the reality of building a supply chain with limited money was never far away. There were no organised meat processing plants [in India], unlike more developed markets," says Gupta. Hanjura, 38, chimes in to point out that Licious's biggest achievement since founding has been building a supply chain. Licious has 100 delivery centres and five processing centres across 20 cities. The thumb rule is a processing centre reaches out to a radius of 300 km or 10 hours of travel. For instance, the one in Bengaluru caters to Chennai, and the one in Talaja supplies to Mumbai, with Delhi handling Gurugram and Chandigarh. "We now have bio-secured farms and a joint venture for fish feed (called Growelicious) or [we] just partner with state governments for red meat," he adds. Besides building the supply chain, Licious has also spent a lot on technology. "It (technology) has helped in cutting back wastage in delivery centres from 30% to 2.5%," says Gupta.

According to independent food advisor K.S. Narayanan, Licious took to the D2C model and offered superior packaging and value-added products like ready-to-cook options. "Covid-19 helped